value of investment on the maturity and pay interest, usually at a fixed rate, during the period of investment that may be paid at regular intervals or maturity.

Retaining the principal features of the current SGB scheme, the government should offer the facility to invest in these bonds on tap through designated post offices, banks, stock exchanges and RBI counters. The two-way prices (for selling and buying) of gold bonds should be declared every day. The bonds should be marketed/sold through investment bankers/intermediaries like brokers and agents who market small savings products with the same commission payable on financial products. The bonds should be held only in demat accounts and be transferrable much the same way as equity shares are transferred today with the National Securities Depository Ltd (NSDL) and Central Depository Services India Ltd (CSDL) working as the depositories of these bonds.

Third, LIC, MFs and other asset managers should also be permitted, with appropriate regulations, to offer gold-denominated insurance policies, MF units and similar investment products ensuring two key features: redemption/payment in gold of original investment quantity and additional financial returns.

Development of Spot and Future Markets for Gold

Gold derivatives are permitted to be traded in all exchanges regulated by SEBI. However, there is no organized spot market in the country for gold. India should set up an India Gold Exchange (IGE) for spot and forward gold trading, regulated by an independent gold regulator. SEBI regulates gold derivatives as securities but physical gold is a commodity. Some commodity exchanges have come up in the country like electricity exchanges and, more recently, a gas exchange. This offers three possibilities for regulation of spot and future markets for gold: SEBI regulates both spot and future markets; a specialized gold regulator regulates both spot and